

Indicative Senior Term Loan Term Sheet

Fictional Bank, N.A. to Northstar HVAC Acquisition Co. (fictional)

FICTIONAL DEMONSTRATION DOCUMENT. Northstar HVAC Services, LLC and every person, customer, contract, lender, and financial value in this document are invented for the BearCase AI demo.

Facility: senior secured term loan in the principal amount of \$7,560,000.

Interest rate: 8.00% fixed per annum.

Amortization: 10-year amortization with level monthly payments of principal and interest. No balloon payment.

Use of proceeds: to fund a portion of the purchase price of the membership interests of Northstar HVAC Services, LLC.

Financial covenants:

Minimum debt service coverage ratio of 1.25x, tested annually on the fiscal year-end financial statements.

Maximum funded debt to EBITDA of 4.50x, tested annually.

Cash flow available for debt service is defined as EBITDA less unfinanced capital expenditures, cash taxes, and permitted distributions, in each case for the trailing twelve months.

Security: first-priority lien on all assets of the borrower and a pledge of membership interests. Personal guaranty of the sponsor principals.

Conditions: satisfactory quality of earnings review, customer contract review, and insurance certificates.

Fees and expenses

Origination fee of 1.00% of the facility amount payable at closing. Borrower to reimburse lender legal expenses. This term sheet is non-binding and for discussion only.